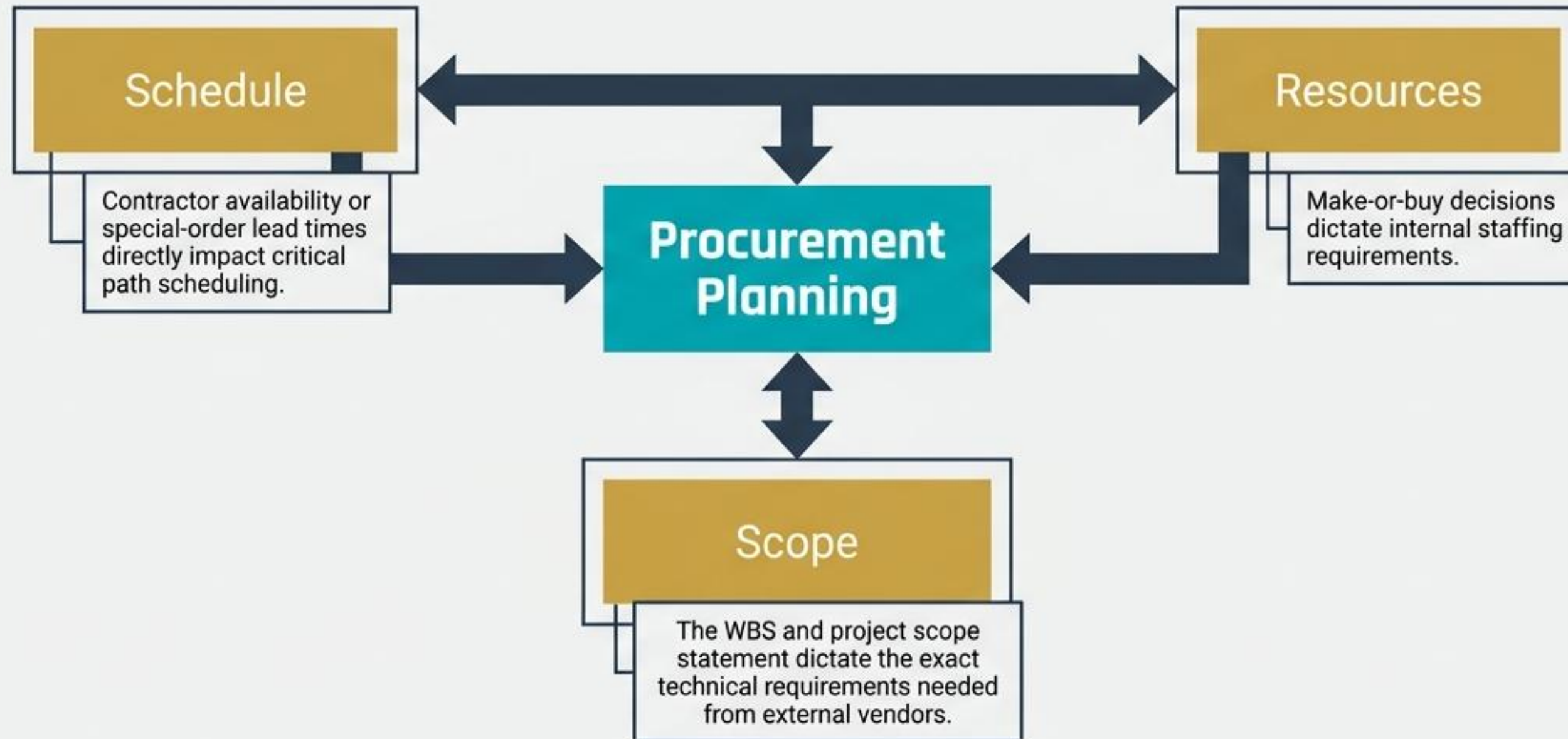


Certyfikat PMP: Project Procurement Planning

Mastering the Buyer-Seller Dynamic and Contract Structures

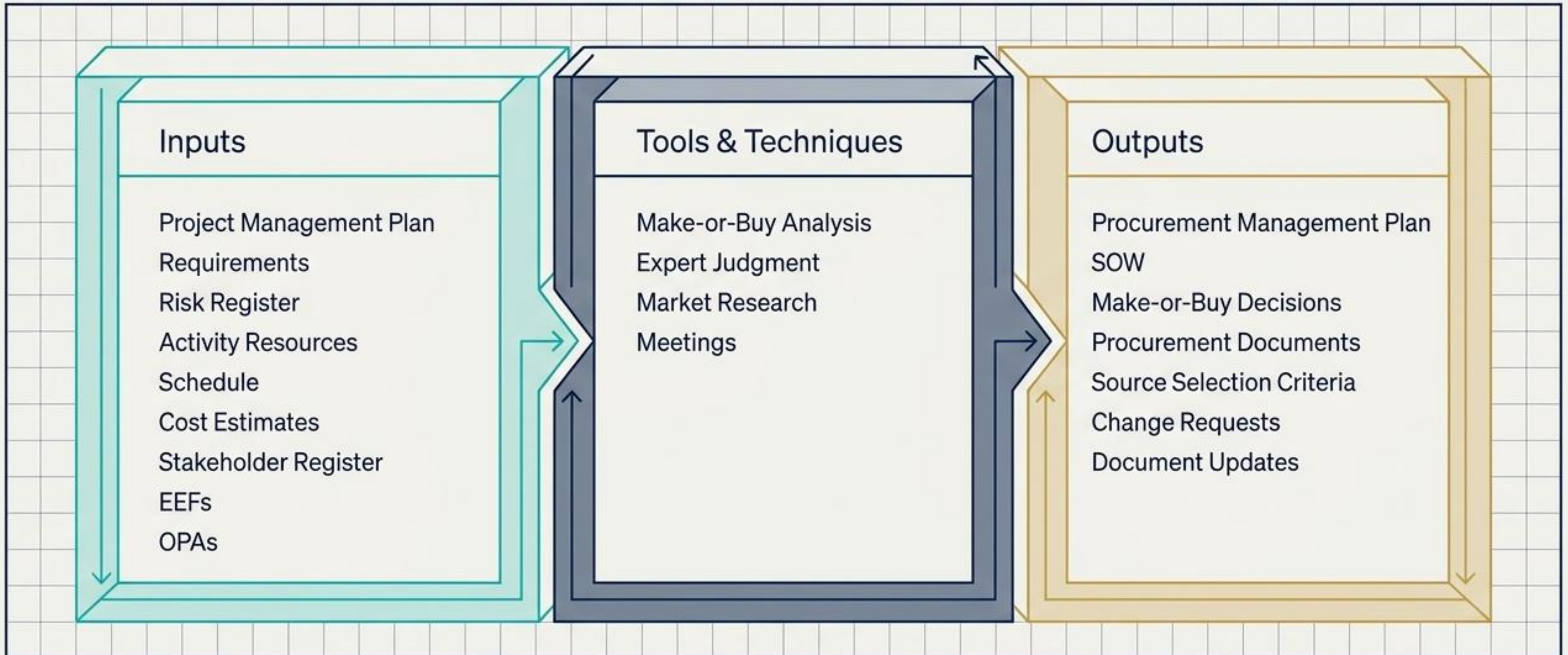
dr Zbigniew Galar

Procurement Operates Within a Highly Interdependent Ecosystem

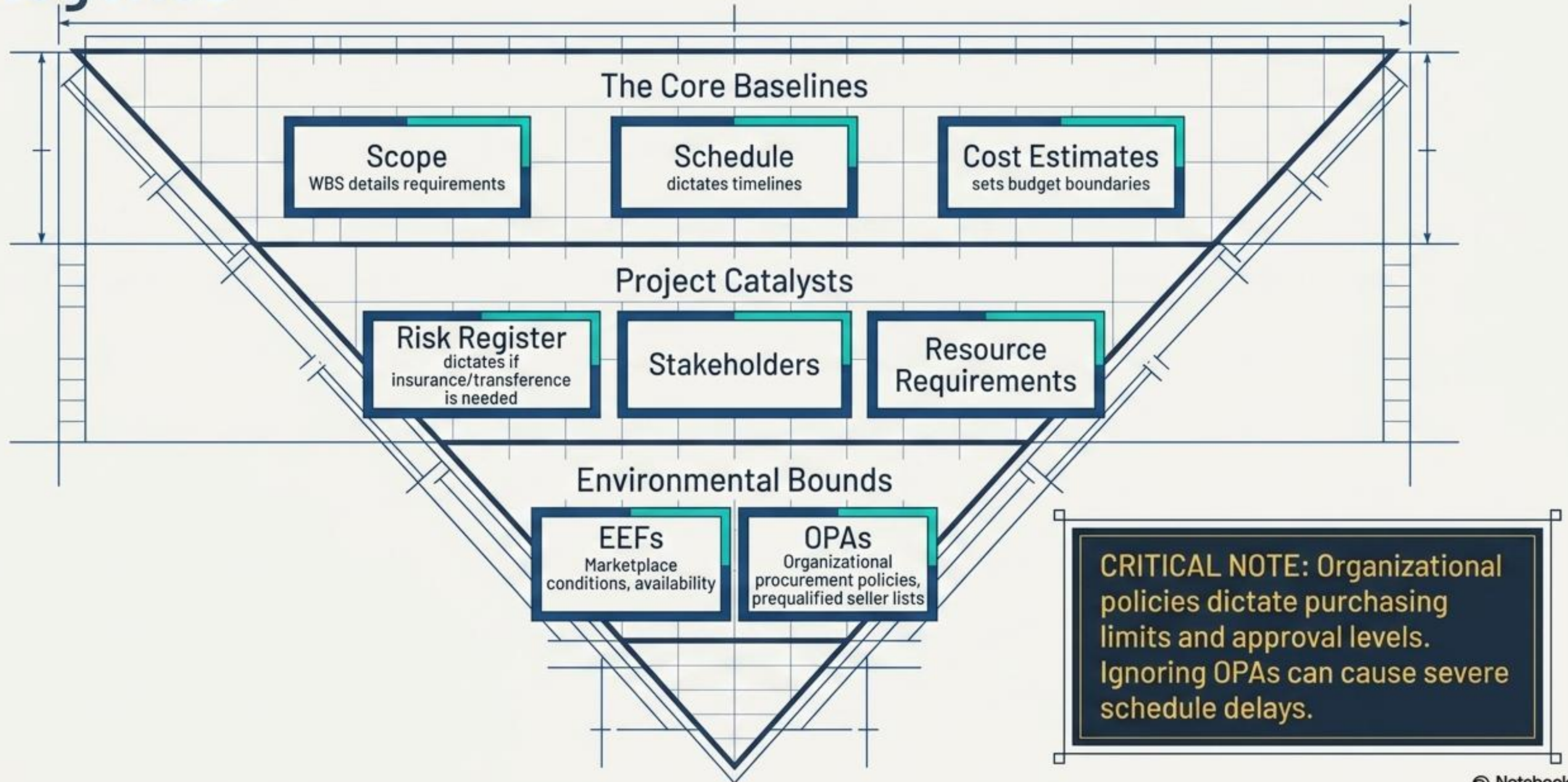


The Buyer manages the vendor; the Vendor manages the project deliverables.

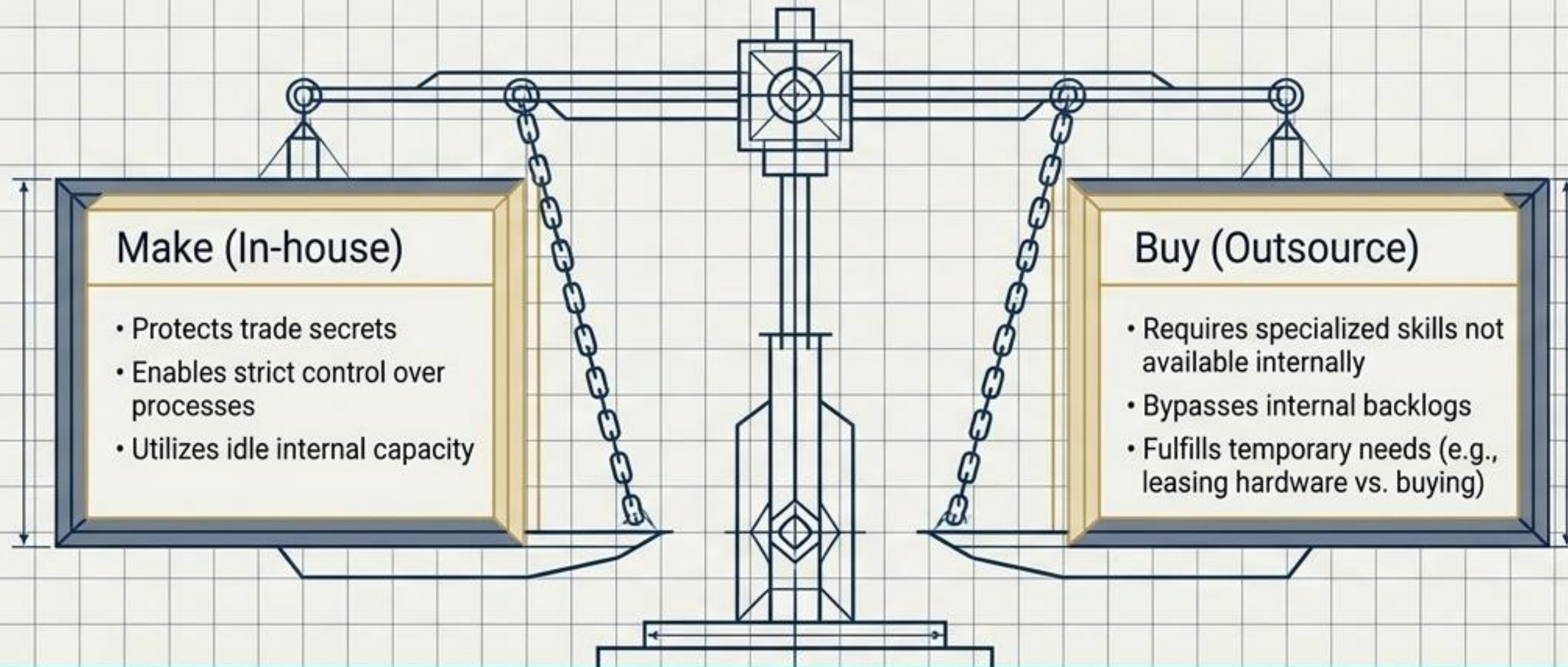
The Architectural Flow of Plan Procurement Management



Structuring the Nine Inputs into Actionable Categories



The Threshold Decision: Conducting a Make-or-Buy Analysis



Diagnostic Rule: Make-or-buy analysis must always calculate both direct costs (the purchase price) and indirect costs (salaries of purchasing managers, ongoing maintenance).

Navigating the Market and Vendor Partnerships

Market Research



Utilizing conferences, internet searches, and industry data to assess vendor financial stability, team expertise, and industry presence.

Teaming Agreements

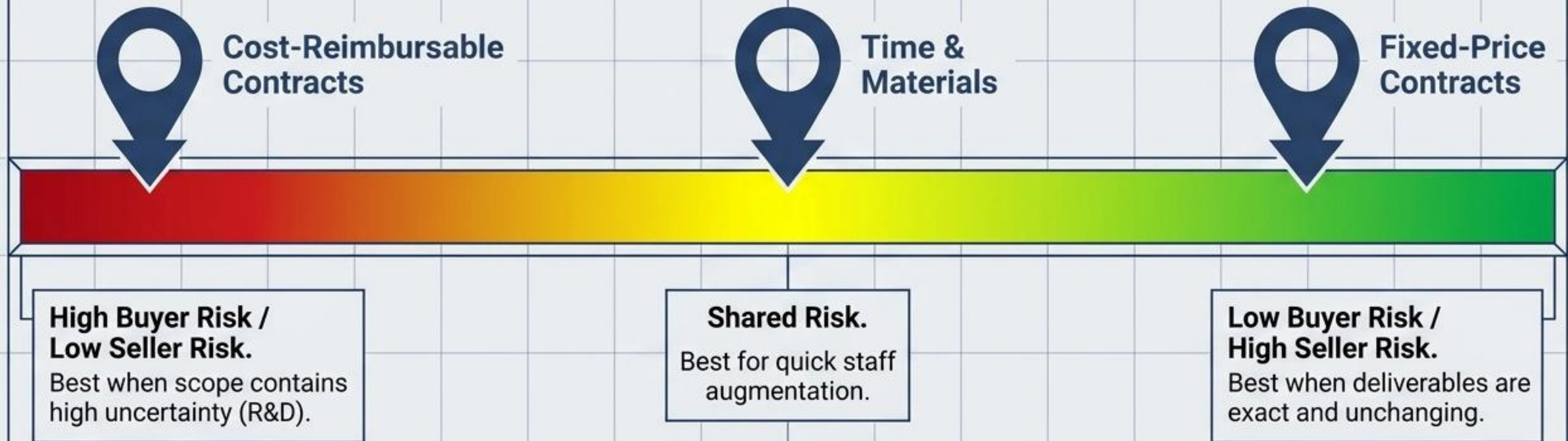


Contractual joint ventures between multiple vendors

WARNING: When teaming agreements are in force, the planning processes are significantly impacted. They predefine the scope of work and bypass some competition requirements, directly altering schedule, budget, and resource availability.

The Contract Risk Spectrum dictates Financial Exposure

GOLDEN RULE: Contract types determine risk distribution. The chosen contract must align perfectly with the organizational risk appetite.



Diagnostic Matrix: Fixed-Price (FP) Contracts

Firm Fixed-Price (FFP)	Fixed-Price Incentive Fee (FPIF)	Fixed-Price with Economic Price Adjustment (FP-EPA)
The most common contract. Price is completely locked. Buyer risk is minimal, but scope must be perfectly defined to avoid expensive change orders. Seller builds risk costs into the price.	Includes a predetermined bonus for early completion or exceeding technical metrics. Shifts a small amount of risk to the buyer in exchange for performance enhancements.	Used for multi-year projects. Includes clauses tied to known financial indexes to adjust for inflation or changing economic conditions. Protects both parties.

Diagnostic Matrix: Cost-Reimbursable (CR) Contracts

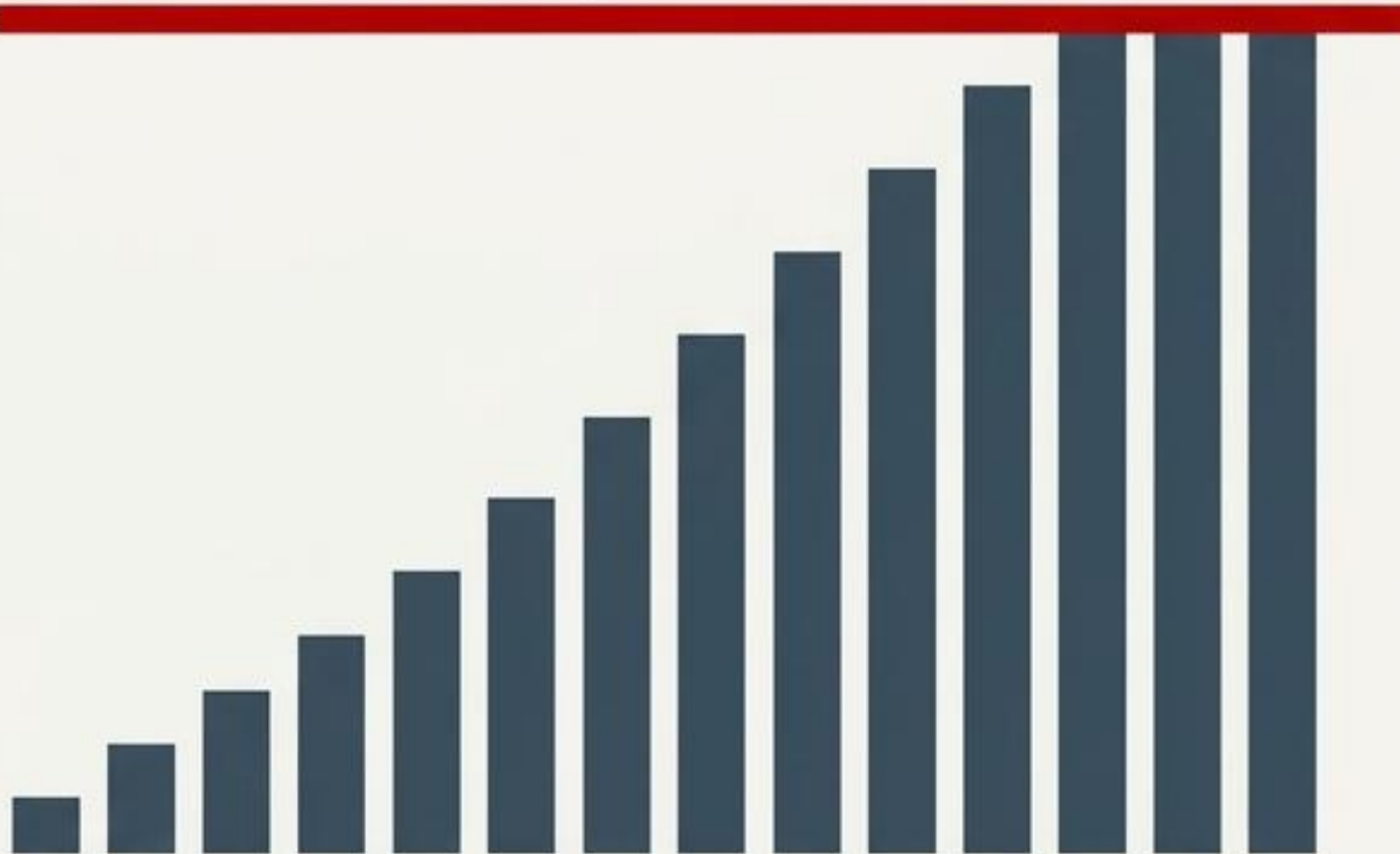


Cost Plus Fixed Fee (CPFF)	Cost Plus Incentive Fee (CPIF)	Cost Plus Percentage of Cost (CPPC)	Cost Plus Award Fee (CPAF)
Buyer pays all allowable costs plus a firm, fixed profit fee. Seller has low motivation to control costs.	Buyer pays costs, but includes shared savings if the seller beats performance/cost targets. Encourages efficiency. Moderate buyer risk.	Buyer pays costs plus a fee based on a percentage of those costs. The lowest motivation for the seller to control costs. Rarely used.	Costs are reimbursed, but the profit fee is based entirely on subjective performance criteria determined solely by the buyer. Generally non-contestable.

The Hybrid Approach: Time & Materials (T&M)

$$[\text{Fixed Unit Rates}] + [\text{Variable Total Time}] = \text{T\&M}$$

Not to Exceed Cap



Context

Blends fixed-price (preset hourly rates) with cost-reimbursable (unknown total duration). Ideal for rapidly acquiring human resources with specific skills.

Risk Factor

The buyer bears the highest risk as total time can continually expand.

Real-World Mitigation Strategy

Always establish a 'Not to Exceed' limit in the contract to prevent runaway costs when hiring contract resources (e.g., programmers or construction managers).

The Master Output: The Procurement Management Plan

Core Document Elements

Dictates specific contract types to be used, establishes the project team's purchasing authority, identifies prequalified sellers, and defines procurement metrics for evaluating sellers.

Integration Mandate

Ensures purchasing lead times coordinate perfectly with the master project schedule.

Real-World Scenario



Real World Scenario

Utilizing standardized templates (e.g., mandating fixed-price for physical materials, T&M for field labor) streamlines enterprise purchasing and ensures compliance without rewriting rules per project.

Translating Strategy into Marketplace Action

Step 1: Procurement Statement of Work (SOW)

Extracted directly from the project scope baseline. Clearly details the deliverables for prospective sellers.

Step 2: Procurement Documents

The formal requests hitting the market. RFPs (Request for Proposal), RFQs (Request for Quote), RFIs (Request for Information).

Step 3: Source Selection Criteria

The grading rubric. Defines exactly how vendor proposals will be evaluated (price, experience, financial stability).

Step 4: Change Requests

The inevitable byproduct. Planning procurements often forces updates to the project schedule or budget baselines.

The Project Manager's Procurement Checklist



Have we strictly verified our organization's approval policies and purchasing limits (OPAs)?



Is the project scope defined with enough absolute certainty to safely use a Fixed-Price contract?



Did our Make-or-Buy analysis account for indirect costs and internal capacity, not just the sticker price?



Is our selected contract type perfectly aligned with the financial risk tolerance documented in the Risk Register?